Kazakhstan Economy | Kazakhstan, Central Asia

SIGNAL Kazakhstan's multi-vector balancing act is collapsing as the Ukraine war physically severs its main oil export route while China becomes its inescapable economic anchor.

FRACTURE The CPC crisis has revealed that no alternative export route can substitute for the Russian pipeline — Kazakhstan's economic sovereignty is now hostage to a war it cannot influence.

Kazakhstan's economic diversification will not advance enough over the next 18 months to provide the country with a viable third path.

75%

PROBABILITY

TARGET: DECEMBER 2027

CONFIDENCE: MEDIUM

WHAT'S NEW

- **CPC tanker crisis escalates to full suspension:** Four tankers were struck near the CPC terminal at Novorossiysk between July 17-21, forcing repeated suspension of loadings. Tengiz output halved to 406K b/d; total Kazakh production dropped to 1.63M b/d. A fifth tanker, Nissos Sifnos, was struck on July 30. CPC carries 80% of Kazakh crude exports (~1.7M b/d). Exports resumed July 27 but operations remain unstable.
- **Tokayev signs $15B+ with China at WAIC:** During his July 16-20 visit to Shanghai for the World Artificial Intelligence Conference, Tokayev and Xi Jinping signed 70+ agreements worth over $15 billion covering digital infrastructure, transport, and AI. Kazakhstan and China signed a Trade and Economic Cooperation Program and Roadmap 2027-2030. CATL is considering Central Asia's first EV battery gigafactory in Kazakhstan.
- **Tokayev tells Putin to freeze the war:** Face-to-face at the 22nd Russia-Kazakhstan Interregional Cooperation Forum in Omsk (July 25), Tokayev urged Putin to freeze the Ukraine war and return to "Istanbul 2.0" negotiations. "It is a shame, young people are dying... All this has to be stopped." Ukraine praised the statement; the Kremlin rejected it. This is the most direct public break Tokayev has made with Moscow on the war.
- **EU adopts 21st sanctions package:** On July 23, the EU adopted its 21st sanctions package — the largest designations exercise in four years (218 listings). Two Kazakh companies were added to sanctions and export-control lists. The oil price cap is frozen until July 14, 2027. Six entities in China, Oman, India, Singapore, and UAE

were also sanctioned, along with the Kulevi Oil Refinery in Georgia. Enhanced third-country sanctions architecture now includes refineries.

- **Strategic Digital Mining rules enacted:** Government Resolution No. 638 (July 18, effective August 1) requires strategic miners to have ≥150 MW data centers, ≥150 TH/s equipment, and to transfer 10% of mined assets to the National Strategic Crypto Reserve. Alatau City Bank and Binance Kazakhstan launched Crypto Pay for QR-code crypto payments.
- **US "Sanctioning Russia Act" advances:** Bipartisan Senate bill S.5025 (62 cosponsors) introduced July 16 — would authorize tariffs up to 100% on countries among the top five importers of Russian oil or top five facilitators of sanctions evasion. Graham: "It's going to become law." Directly threatens Kazakhstan's transit trade exposure.
- **Sinopec $3.9B gas field investment:** Sinopec Geo-Jade Petroleum committed $3.9 billion to explore a new gas field in Kazakhstan, alongside $2.5 billion for two aluminum processing facilities — major BRI deals in H1 2026.
- **Gulf SWF deployment hits records:** Gulf sovereign wealth funds deployed $53.9 billion in H1 2026 (108 deals) — a historical maximum. Abu Dhabi's Mubadala led with $15.2B. The Abu Dhabi-based L'imad fund ($300B AUM) earlier unveiled a $30B Central Asia venture with BlackRock/GIP and Temasek.
- **Kazakhstan rises to 36th in IMD Competitiveness Ranking:** Kazakhstan ranked 36th out of 70 economies in the IMD World Competitiveness Ranking 2026, up from 34th/69 in 2025 (with expanded country coverage). Ranked 25th in the Europe-Middle East-Africa region.
- **Caspian Green Energy Corridor advances:** Feasibility study by Italian firm CESI underway (~May 2027 completion), backed by ADB and AIIB. Kazakhstan has 3.7 GW installed renewables, targeting 10 GW by 2035. However, Kazakhstan faced monthly electricity shortages of 125-330 million kWh during the 2025-26 heating season, requiring Russian and Uzbek imports.
- **EBRD study quantifies sanctions circumvention:** A peer-reviewed paper in the European Economic Review (July 2026) found that Kazakhstan, Armenia, and Kyrgyzstan together offset approximately one-third of the decline in European exports to Russia (2022-23) through rerouting and "lost in transit" mechanisms.
- **$400B investment target framework taking shape:** Kazakhstan's government confirmed the $400B cumulative investment target (2025-2029), aiming to raise the investment-to-GDP ratio from 14-15% to 23%. Non-oil sector grew 5.4% in 2025. ECI rose from 87th to 55th (2019-2024). Manufacturing now 12.4% of GDP; oil/gas extraction 8.1%.
- **AIFC-model expansion:** Uzbekistan announced plans for a Tashkent International Financial Centre (TIFC) modeled on the Astana International Financial Centre. Kazakhstan-Uzbekistan bilateral trade reached $4.8B in 2025 (+16.2% YoY), with 23 Uzbek companies now registered in the AIFC.

- **Alstom Middle Corridor bet paying off:** Alstom's €200M+ investment in Kazakhstan produced 200+ electric locomotives with a 205-unit KZ6 container locomotive order (commercial operations 2029). Middle Corridor cargo volumes rose 69% in the first five months of 2026.

ANALYSIS

POLITICAL

The most significant political development since the last report is Tokayev's face-to-face call for Putin to freeze the Ukraine war — delivered alongside Putin at the Omsk forum on July 25. This is the most direct and public break Tokayev has made with Moscow since the 2022 invasion. Telling Putin to his face that "young people are dying" and that the war's origins are "not completely understandable for many, including us" crossed a threshold that no CSTO ally has approached. The Ukrainian Foreign Minister called it "a realistic, timely, and wise message." The Kremlin rejected it outright.

The statement must be read alongside the CPC tanker crisis. Four tankers were struck at the CPC terminal between July 17 and 21 — two while actively loading Kazakh crude. Exports were suspended entirely. A fifth tanker was hit on July 30. Kazakhstan's Foreign Ministry formally condemned the attacks as a direct threat to its economic interests. Tokayev's plea at Omsk was not merely diplomatic positioning — it was an admission that Kazakhstan's economy is being strangled by a war it did not start and cannot stop.

The EU's adoption of the 21st sanctions package on July 23, with two Kazakh companies now formally designated, completes a triangle of converging pressures: kinetic attacks on the CPC terminal, formal sanctions on Kazakh entities, and Tokayev's own acknowledgment that the war must end. The EU's inclusion of the Kulevi Oil Refinery in Georgia — with a six-month deadline to diversify from Russian crude or face a transaction ban — signals that Brussels is extending its third-country architecture to refineries, a precedent with direct implications for Kazakhstan's energy sector.

The US "Sanctioning Russia Act" (S.5025), introduced July 16 with 62 cosponsors and bipartisan White House backing, adds another dimension. The bill authorizes tariffs of up to 100% on countries ranking among the top five importers of Russian oil or top five facilitators of sanctions evasion. While Kazakhstan is not a major Russian oil importer, it is a key transit and circumvention corridor — and the EBRD study quantifying that Kazakhstan/Armenia/Kyrgyzstan offset roughly one-third of European export decline to Russia provides precisely the kind of evidence that sanctions hawks use to justify expanded targeting.

ECONOMIC

The CPC tanker crisis is the dominant economic event, and its implications cascade across every other development. OilPrice.com's July 23 analysis framed it as a three-part crisis: a war-exposed export system, insufficient alternatives, and recurring operational disruptions. The CPC carries approximately 1.7 million barrels per day — 80% of Kazakh crude exports and, combined with KEBCO, roughly 15% of EU crude imports. Alternative routes cannot absorb the shortfall: the BTC pipeline handles roughly 30,000 b/d, the Atyrau-Samara pipeline 220,000 b/d, and the China pipeline 400,000 b/d. The math is brutal — even at maximum capacity, alternatives cover less than half of CPC volumes. And they are more expensive, involve more complex logistics, and cross multiple jurisdictions.

The economic damage compounds existing fragility. Kazakhstan had already revised its 2026 production target down from 100.5 million tons to 98 million tons. The Karachaganak field — hit earlier by the Orenburg drone attack — lost 70,000 b/d. Now Tengiz, the country's largest field, was halved to 406,000 b/d during the CPC shutdown. Each disruption hits the National Fund, the state budget, and the investment pipeline that underpins the $400B cumulative target.

This is the context for Tokayev's $15B+ deal blitz in Shanghai. The Trade and Economic Cooperation Program and Roadmap 2027-2030 is not merely a trade agreement — it is Kazakhstan binding its economic planning cycle to China's. CATL's potential EV battery gigafactory, Kazakhstan Temir Zholy's $400M in transport digitalization deals, and the proposed Kazakhstan-China Digital Bridge all represent deepening infrastructure integration. When Tokayev proposed 2027 as the Year of Kazakhstan-China Joint AI Initiatives and co-launched WAICO (the World AI Cooperation Organization with 29 founding states), he was positioning Kazakhstan inside China's AI governance architecture.

The BRI data from H1 2026 reinforces China's gravitational pull. Sinopec's $3.9B gas field investment and $2.5B in aluminum processing facilities make Kazakhstan the most important Central Asian partner for Chinese metals and mining. China-Kazakhstan trade rose 25% in H1 2026, second only to Uzbekistan's 31%. Chinese manufacturing engagement in Kazakhstan grew 81% year-over-year. More than 8,500 Chinese-backed companies now operate in the country. The $100B bilateral trade target, reaffirmed at the China-Eurasia Expo, now looks achievable within this decade — and when it is achieved, China will account for more than two-thirds of Kazakhstan's external trade.

The Gulf sovereign wealth influx offers a partial counterweight. Gulf SWFs deployed $53.9B in H1 2026 — a historical record. Abu Dhabi's L'imad fund ($300B AUM) earlier unveiled a $30B Central Asia venture with BlackRock/GIP and Temasek. Saudi PIF committed to joint ventures in petrochemicals and green hydrogen. Kazakhstan's AIFC — explicitly modeled on Dubai's DIFC — is the institutional entry point. But observed Gulf deployment in Kazakhstan remains modest relative to the headline figures, and Gulf capital tends to flow to energy and logistics assets rather than the knowledge-economy sectors that define the "third path."

The $400B investment target is the strategic framework for transformation, with manufacturing now at 12.4% of GDP and oil/gas extraction down to 8.1%. The ECI improvement from 87th to 55th is genuine progress. But the target assumed a functioning hydrocarbon revenue engine to fund it — an assumption the CPC crisis has severely undermined.

MILITARY

The military dimension has been transformed by the CPC tanker attacks. This is no longer a theoretical spillover risk — Kazakhstan's primary economic infrastructure is under direct, repeated physical attack in a conflict zone. Four tankers struck in five days, with drones striking vessels while they were actively loading Kazakh crude at the CPC terminal. The Chevron-chartered Yasa Polaris was hit by a drone near the terminal. The US State Department delivered a formal démarche to Ukraine after an earlier attack affected American and Kazakh economic interests.

Kazakhstan has no military capability to protect the CPC terminal — it is Russian sovereign territory, and Kazakhstan's armed forces have no presence there. The country's 7,644 km border with Russia, which was historically framed as an economic lifeline, now functions as a vulnerability transmission mechanism. Every drone that reaches Novorossiysk is a drone that reaches Kazakhstan's export revenue.

Tokayev's two-year military modernization deadline, announced in May, and the ANKA UAV production deal with Turkey take on new urgency — not for conventional defense, but for the capacity to diversify security dependencies. The OSW (Centre for Eastern Studies) analysis warns that a prolonged CPC crisis could fuel domestic unrest, noting that oil sector workers were the driving force behind the 2011 and 2022 protests. The government's extension of the petroleum export ban to May 2027, the deployment of 60 road checkpoints to curb "gasoline tourism" to Russia, and the interception of 3 tons of smuggled fuel all point to a regime that understands the domestic security implications of energy supply disruption.

TECHNOLOGICAL

The technological story since the last report has been dominated by China's deepening role in Kazakhstan's digital transformation. Tokayev's WAIC appearance was framed around the "Kazakhstan-China Digital Bridge" and 2027 as a proposed "Year of Joint AI Initiatives." The $15B in deals included digital infrastructure and AI cooperation — but notably, Huawei was already the provider of several parts of Kazakhstan's critical infrastructure before the conference. The integration is deepening at the hardware, software, and governance levels simultaneously.

The Strategic Digital Mining rules (effective August 1) represent a sophisticated attempt to convert Kazakhstan's existing crypto mining industry — built on the country's cheap electricity advantage — into a state-controlled strategic asset. The 10% transfer requirement to the National Strategic Crypto Reserve, managed by the National Investment Corporation of the National Bank, is a resource-extraction model applied to digital assets. When combined with the Alem Crypto Fund (launched September 2025) and Binance Kazakhstan's Crypto Pay launch, Kazakhstan is building a parallel financial infrastructure that operates alongside — but separate from — the Western financial system. This is a hedge against sanctions risk that simultaneously deepens Kazakhstan's position as a crypto-friendly jurisdiction.

The Caspian Green Energy Corridor, while strategically significant, faces a reality check. The feasibility study won't be complete until approximately May 2027. Kazakhstan's current 3.7 GW of renewables is dwarfed by its domestic electricity shortages of 125-330 million kWh monthly — shortages that required imports from Russia and Uzbekistan. The 5 GW export target by 2030 is a decade-scale ambition being pursued while the country can't meet its own winter demand. The corridor matters as a long-term strategic hedge, but it provides zero relief from the immediate CPC crisis.

The domestic AI ecosystem continues to mature at the education and workforce level — 37th in the Global Skills Report, 100% digital textbook coverage, 165,000 ChatGPT Edu licenses, 30 universities with 42 AI/robotics programs. The Alem Capital $1B fund-of-funds made its first public venture bet ($5M to Sturgeon Capital). These are real, incremental advances. But the gap between an education pipeline producing AI-literate graduates and the structural dependence on hydrocarbon revenue is measured in decades, not months. The AI-in-schools initiative (10 pilot schools, scaling to 500 by January 2027) is a pilot program that cannot offset the immediate fiscal impact of a disabled CPC.

WATCH INDICATORS

- CPC terminal operational status and frequency of drone attacks — each new strike directly impacts Kazakhstan's export revenue
- Tokayev's "Istanbul 2.0" proposal follow-through — whether any diplomatic channel materializes from the Omsk intervention
- US Sanctioning Russia Act (S.5025) legislative progress — whether Kazakhstan becomes a named target or falls under the "top five facilitators" provision
- EU 21st package implementation — how the Kulevi Oil Refinery precedent evolves and whether it extends to Kazakh energy infrastructure
- Kazakhstan-China trade trajectory toward $55-60B in 2026 — the pace of Chinese economic integration
- Strategic crypto mining compliance rates — whether major miners accept the 10% transfer requirement or relocate
- National Fund drawdowns — whether Kazakhstan taps sovereign reserves to offset CPC revenue losses
- Kazakhstan-Ukraine diplomatic trajectory — whether bilateral relations deteriorate further after the CPC attacks

PROBABILITY TRIGGERS

EVENT	DIRECTION
CPC terminal shut down for more than 30 consecutive days	Up

EVENT	DIRECTION
US Sanctioning Russia Act passes into law with Kazakhstan-relevant provisions	Up
Tokayev's "Istanbul 2.0" proposal gains traction with either Moscow or Western mediators	Down
Alternative oil export route volumes (BTC + China pipeline) exceed 1M b/d combined	Down
EU designates additional Kazakh entities in a 22nd sanctions package	Up
CATL EV battery gigafactory breaks ground in Kazakhstan	Down
Russia retaliates economically against Kazakhstan for the Omsk statement	Up
Gulf sovereign wealth funds commit >$5B to Kazakh non-energy assets	Down
Kazakhstan-China bilateral trade exceeds $60B in 2026	Up
Strategic crypto mining compliance exceeds 50% of installed capacity	Down

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